Atchison Dynamic 85 Portfolio

What is the Atchison Dynamic 85 portfolio?

Atchison Dynamic ETF 85 Portfolio is a Separately Managed Account (SMA), which is an all-inclusive diversified, multi-asset, passive, low-cost, ETF investment portfolio professionally managed for you (the client) on behalf of a financial advisor. This portfolio is made up of 85% growth assets, and 15% defensive assets. This means an SMA includes a range of different asset classes adapted to meet your risk profile. Asset classes include Australian Shares, Global Shares, Alternatives, Floating Rate, Long Duration, Real Assets and Cash - all wrapped up into one all-inclusive portfolio.

What are other benefits of Atchison's SMA's?

- **Peace of mind:** You can be at peace knowing that this portfolio is being continuously overseen and reviewed by Atchison, i.e., professional portfolio managers. Where revisions to both asset allocation and underlying investments are implemented automatically through time.
- **Customisation**: The portfolio's strategic asset allocation has been designed to maximise return and minimise risk over the long term.
- **Diversification**: SMA's provide diversification across various asset classes, sectors, and geographic regions - assisting in reducing volatility and enhancing risk-adjusted returns.
- **Investment strategy:** The portfolio consists of passive strategies across a range of asset classes with a focus on delivering cost effective, uncorrelated returns, and outperformance relative to the benchmark whilst simultaneously reducing risk.
- **Transparency**: You as the investor have visibility of the individual holdings within your portfolio. This provides certainty and conviction on the investments held and allows you to easily monitor your portfolio performance.
- **Tax Efficiency**: Atchison SMA's enable direct ownership of underlying assets, thereby allowing capital gains tax efficiency, along with dividend imputation and franking credits.
- **Performance**: The portfolio aims to outperform the performance benchmark, after underlying investment management fees, over the relevant investment time horizon.

Why invest in Atchison's SMA?

Better risk adjusted uncorrelated returns: Spanning six asset classes including Australian Shares, Global Shares, Alternatives, Duration, Floating Rate, and Cash - all wrapped up into one all-inclusive portfolio.

Ready for all market cycles: Atchison is an asset consultant and investment manager with over 20 years' experience. We've been exposed to both bull and bear markets along with the emotional rollercoaster and

tell-tail signs alerting us of changing market dynamics. Atchison implements a robust seven step investment process, including but not limited to, top-down macro-economic overlays, bottom-up investment analysis, and factor-based manager/product selection.

Clear concise communication: We at Atchison believe in absolute transparency, highlighting what worked, what did not work, and how we are fixing it. Atchison provides monthly market updates reviewing the SMA / attributions and contributions / graphs and charts / key detractors and key contributors monthly.

Tactical Asset Allocation: Atchison also has a robust framework for developing and scenario stress testing our long term and short-term asset allocation views. We publish quarterly tactical asset allocation papers enabling our team of investment professionals to be nimble and flex with any unanticipated market fluctuations. This tactical asset allocation paper is forward looking, considering past trends / patterns / market events, along with future looking indicators / market sentiment / geopolitical advancements.

Leveraging expertise: Atchison SMA's enable you to designate a professional investment manager as your investment partner and leverage our resources and expertise continually. Accessing specific information about the current economic and investment market conditions, as well as anticipating market trends and potential challenges.

Atchison Dynamic 85 Portfolio, and your risk profile.

The Atchison Dynamic ETF 85 Portfolio is suited for investors seeking to generate competitive income and capital returns while minimising the risk of market downturns. The portfolio is diversified across different asset classes, investment strategies, fund managers, and sources of return. Generally, the portfolio will have a long-term average exposure of about 85% to growth and alternative assets and around 15% to defensive assets. However, the allocations will be actively managed based on market conditions.

- Minimum Suggested Investment Timeframe: 9 Years
- Investment Objective: CPI +4% pa
- Benchmark: FE AMI Mixed Asset – Growth peer index
- Investment Universe: ETFs, managed account portfolios and cash
- Number of Holdings: 10 – 65
- Standard Risk Measure: High
- Managed Account Fee: 0.3505% p.a.
- Minimum Investment Amount: $25,000

Why is this called an Atchison Dynamic 85 Portfolio?

- The Atchison suite of Dynamic ETF Portfolios, predominately invests in passively managed ETFs.
- ETFs are like a traditional managed fund, except that they trade on a stock exchange, just like ordinary shares.
- ETFs are a basket of securities created by issuers or fund managers.
- ETFs generally replicate the returns of a specific index/benchmark.

This is different from the suite of Atchison Active Portfolios, which predominately invest in actively managed funds but also follow closely the strategic and tactical asset allocation of the equivalent “Dynamic” diversified multi-asset portfolios.

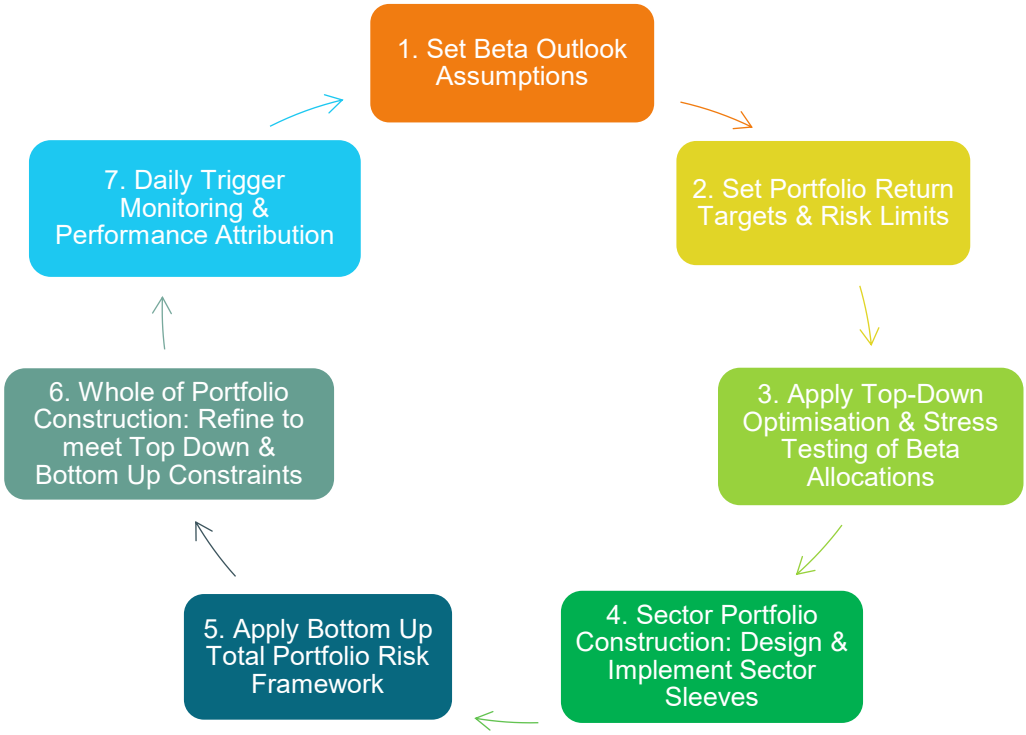
Asset Allocation:

	Range
Australian Shares	20 – 55 %
Global Shares	20 – 55 %
Real Assets	0 – 25 %
Alternatives	0 – 25 %
Fixed Interest - Long Duration	0 – 15 %
Fixed Interest - Floating Rate	0 – 15 %
Cash	0 – 8 %

Atchison’s Investment Approach

A 7-step framework designed to generate sustainable and diversified risk adjusted returns, whilst mitigating downside risk. This strategy involves a multi factor process of blending the best assets within their associated sleeves and monitoring, iterating, and tweaking the portfolio to drive the best risk adjusted returns across all market conditions for the long term.

The portfolio managers consider both long and short-term factors, and layer multiple market/portfolio models to triangulate the best strategy forward from both a top down and bottom-up perspective.



Key Risks:

Investing in a SMA can offer diversification and a well-rounded approach to managing your investments. However, like all investment opportunities it carries certain risks, including, market risk, asset allocation risk, manager risk, liquidity risk, interest rate risk, credit risk, inflation risk, tax implications, diversification risk, and compliance risk.

Ensure before proceeding, you are receiving professional advice from a qualified and registered financial planner before considering this product, or any investment product.

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- When investing in international assets, it is essential to be aware that exposure to foreign currency fluctuations naturally occurs. In cases where this exposure is not hedged, it is important to recognise that changes in foreign exchange markets can significantly affect the overall return on an investment. These effects can be both positive and negative and are independent of the performance of the underlying assets.
- While diversification is a valuable strategy, it's important to acknowledge that it may not fully mitigate systematic risk, such as the risk associated with a global economic crisis, which could impact all asset classes.
- Over the long term, fund managers and ETFs invested in growth assets like shares and real estate have historically outperformed other investment options. However, in the short term, these markets can exhibit substantial volatility, meaning that the value of your investment will fluctuate. Consequently, investing in growth assets should be approached as a long-term strategy.

Warnings: Past performance should not be relied upon as a dependable indicator of future performance. Before making any investment decisions, it is essential for the reader to consider whether it aligns with their personal financial circumstances or seek independent financial advice regarding its suitability. If the financial advice pertains to acquiring or potentially acquiring a particular financial product, it is advisable for the reader

to obtain and review the Investment Statement or Product Disclosure Statement for each financial product before making any decisions regarding its acquisition.

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